Pemberton Debt Advisory

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Grandview Early Learning Information Memorandum

A$44.0M senior secured acquisition term facility

Prepared for prospective senior lenders

Version 1.0, 19 January 2026

Strictly private and confidential

Reference: PDA-IM-2026-007

Date: 19 January 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Grandview Early Learning Pty Ltd
ABN	80 855 681 517
Registered office	Level 7, 215 Adelaide Street, Brisbane QLD 4000
Sponsor	Bellwood Equity Partners Fund II, managed by Bellwood Equity Management Pty Ltd
Facility requested	A$44.0M senior secured acquisition term facility, 48 months
Prepared by	Pemberton Debt Advisory
Prepared for	Prospective senior lenders
Date and version	19 January 2026, Version 1.0

Details of the borrower and this memorandum

Important notice

This information memorandum has been prepared by Pemberton Debt Advisory (Pemberton) at the request of Grandview Early Learning Pty Ltd (Grandview, the Borrower or the Group). It is provided to a limited number of prospective lenders to assist them in deciding whether to proceed with a more detailed credit assessment. It is not an offer, a recommendation or a commitment to lend, and it does not constitute financial product advice.

Information has been drawn from Grandview, Bellwood Equity and their advisers and has not been independently verified by Pemberton. Forward-looking statements, including the expected lift in occupancy at the acquired centres, reflect management assumptions and are uncertain. Several third-party reports referred to in this memorandum have not yet been issued. Where a figure is described as indicative, it is subject to the final report. Recipients must make their own enquiries and rely on their own analysis.

1. Executive summary

Grandview operates long day care centres in Queensland and New South Wales under the Australian Government Child Care Subsidy (CCS) framework. It currently operates 26 centres. On 2026-01 it entered a conditional sale agreement to acquire 12 centres from a private multi-site operator for A$60.5M. The agreement is subject to financing and regulatory transfer approvals. On completion the Group will operate 38 centres with approximately 3,120 licensed places.

Grandview is seeking a A$44.0M senior secured acquisition term facility with a 48 month tenor. Together with A$18.5M of cash equity from Bellwood Equity, the facility will fund the purchase price and A$2.0M of associated transaction costs.

- Scale: 38 centres on a pro forma basis, 22 in Queensland and 16 in New South Wales, an increase of 12 centres or about 46% on the existing estate.
- Earnings: pro forma last twelve months (LTM) revenue of A$72.0M and EBITDA after rent of A$14.2M, a margin of about 19.7%.
- Leverage: pro forma net debt of A$55.0M, equal to 3.9x EBITDA, with pro forma interest cover of 2.6x.
- Security: the acquired portfolio has an indicative valuation of A$62.0M from Harcourt Pryor Valuations Pty Ltd, giving a loan to value ratio (LVR) of 71% on the new facility. The purchase price of A$60.5M is about 2.4% below that valuation.
- Occupancy: the existing estate runs at 81.5% and the acquired centres at 73.5%, a weighted Group figure of 79%. The business plan assumes the acquired centres lift to about 80% within 18 months.
- Quality: 31 of the 38 centres are rated Meeting or Exceeding under the National Quality Framework (NQF).

The principal credit considerations are the occupancy lift at the acquired centres, exposure to government funding settings, educator labour availability, integration of a large acquisition, and the largely leased property base. Section 9 sets out these risks and the proposed mitigants.

2. The transaction

2.1 Overview

Grandview will acquire 12 long day care centres from a private multi-site operator. Five centres are in Queensland and seven are in New South Wales. Four of the acquired centres are held freehold and the remainder operate from leased premises. Completion depends on lender funding and on regulatory approvals for the transfer of approved provider arrangements and service approvals.

2.2 Sources and uses

Item	A$M	% of total
Senior secured acquisition term facility	44.0	70.4%
Bellwood Equity cash equity	18.5	29.6%
Total sources	62.5	100.0%
Purchase price, 12 centres	60.5	96.8%
Transaction costs	2.0	3.2%
Total uses	62.5	100.0%

Sources and uses of funds

Transaction costs are expected to include the establishment fee of A$0.88M (2.00% of the facility limit), stamp duty, legal, due diligence and advisory costs. The sponsor equity contribution is 29.6% of total funding and ranks behind the senior facility. The facility is expected to be drawn in full at completion.

2.3 Existing debt

Pro forma net debt of A$55.0M comprises the new A$44.0M facility and A$11.0M of existing net debt under the Group's bilateral bank facility, which funded the rollout to 26 centres. The treatment of that facility, including ranking, security sharing and any intercreditor arrangements, will be settled in the term sheet. Grandview's preference is for the new lenders to hold first ranking security over the acquired assets, with an intercreditor deed governing shared Group-level security.

3. Borrower and sponsor

3.1 Corporate history

Date	Event
2011-08	Founded in Toowoomba, QLD, with two centres
2017-03	Entered northern NSW by acquiring a five centre operator in the Tweed and Byron regions
2021-10	Bellwood Equity acquired 72%; founders retained 28%
2024-11	Reached 26 centres through a greenfield and brownfield rollout funded by a bilateral bank facility
2026-01	Conditional agreement to acquire 12 centres, subject to financing and regulatory approvals

Key milestones

Grandview has grown from two centres to 26 over about 13 years, using both organic development and acquisition. The 2017 northern NSW acquisition is the closest precedent for the current transaction. The proposed acquisition is larger, however, adding 12 centres in a single step.

3.2 Ownership and governance

Bellwood Equity Partners Fund II holds 72% of Grandview, managed by Bellwood Equity Management Pty Ltd. The founders hold the remaining 28%. The board has three directors, two of whom are Bellwood Equity nominees.

Director	Role
Fiona Marchetti	Managing Director and Chief Executive Officer
Daniel Okonkwo-Reid	Non-executive Director and Chair (Bellwood Equity nominee)
Priya Raghunathan	Non-executive Director (Bellwood Equity nominee)

Board of Grandview Early Learning Pty Ltd

Bellwood Equity is contributing A$18.5M of new cash equity to the acquisition. Lenders will be asked to consider a commitment from the sponsor to support the Group through the integration period, which is described in Section 8.

4. Business overview

4.1 Operations and revenue

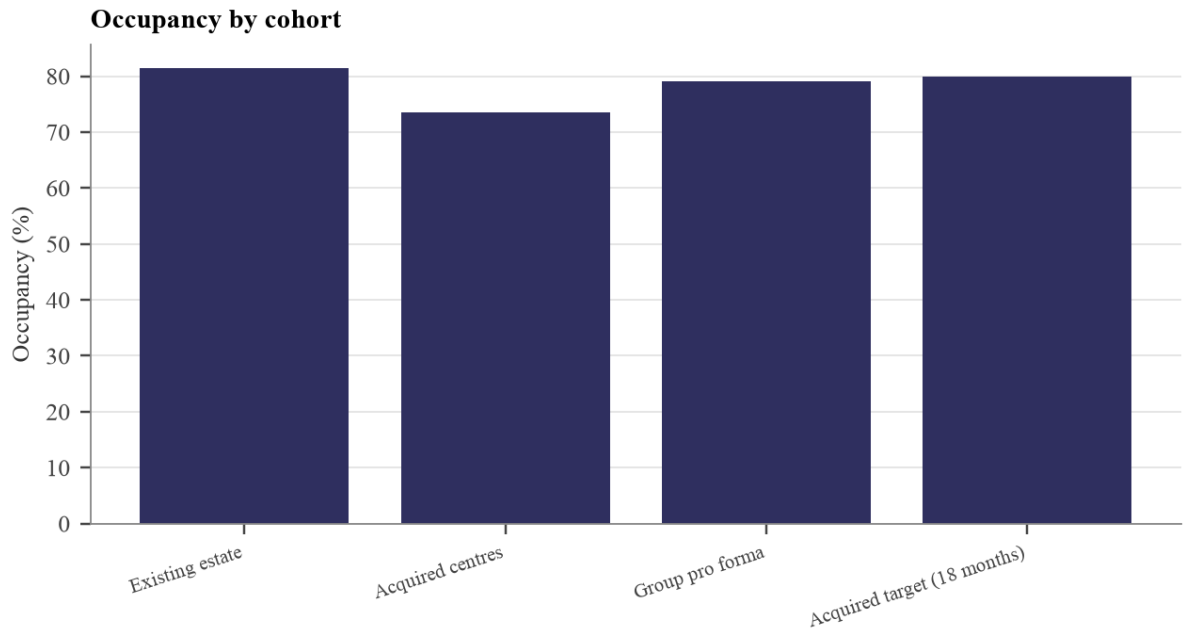
Grandview provides centre-based long day care to children from infancy to school age. Revenue is derived from parent fees and CCS paid by the Australian Government in respect of eligible families. Earnings therefore depend on enrolled places, daily fee levels, the CCS rate and hourly fee cap settings, and the cost of educator and centre labour.

Most centres are on leased premises under long-term leases. Rent is deducted in arriving at the reported EBITDA of A$14.2M. This means that the Group's lease obligations rank ahead of lender cash flows and are treated as an operating cost in all leverage and cover calculations in this memorandum.

4.2 Portfolio

Measure	Existing	Acquired	Pro forma
Centres	26	12	38
Queensland centres	17	5	22
New South Wales centres	9	7	16
Licensed places (approx.)	2,145	975	3,120
Occupancy (%)	81.5	73.5	79.0

Portfolio before and after the acquisition. Place counts by cohort are derived from the Group total and the weighted occupancy figures.



Current occupancy and the management target for the acquired centres

4.3 Quality and regulation

Each centre is assessed by the state regulatory authority under the NQF. Of the 38 pro forma centres, 31 (about 82%) are rated Meeting or Exceeding. The remaining seven are rated below Meeting and are a focus of the integration plan, because ratings influence enrolment, regulatory scrutiny and the transferability of approvals.

5. The acquired portfolio

The 12 acquired centres hold approximately 975 licensed places at an average occupancy of 73.5%, which is 8.0 percentage points below the existing estate. At the Group's pro forma revenue per occupied place of about A$29,200 per year, derived from A$72.0M of revenue over roughly 2,465 occupied places, each percentage point of occupancy across the acquired centres represents about 9.75 places and about A$0.28M of annual revenue.

Management's plan to lift the acquired centres to about 80% relies on three measures:

- Rebranding of the acquired centres to the Grandview model and fee structure, subject to consultation with families.
- Rostering changes to align educator hours to attendance patterns and ratio requirements.
- Targeted enrolment campaigns, including waitlist conversion and local marketing in each catchment.

A lift from 73.5% to 80.0% implies about 63 additional occupied places. The facility has been sized so that the lender case does not depend on this lift. Section 6 shows leverage and cover at lower occupancy outcomes.

Harcourt Pryor Valuations Pty Ltd has provided an indicative valuation of A$62.0M for the acquired portfolio. The formal valuation report is scheduled for 2026-03-06. A quantity surveying and property condition report from Tanner & Voss Quantity Surveyors Pty Ltd is scheduled for 2026-03-20 and will cover the four freehold centres and any capital works required across the acquired estate.

6. Financial overview

6.1 Pro forma summary

Metric	Pro forma LTM
Revenue (A$M)	72.0
EBITDA after rent (A$M)	14.2
EBITDA margin (%)	19.7
Net debt (A$M)	55.0
Net debt to EBITDA (x)	3.9
Interest cover (x)	2.6
Facility LVR on acquired portfolio (%)	71

Pro forma financial metrics, combining the existing Group and the acquired centres for the last twelve months

Pro forma figures combine Grandview's results with the vendor's results for the acquired centres on a like-for-like basis, after rent. They are unaudited and do not include synergies or the expected occupancy lift. Interest cover of 2.6x implies pro forma net interest of about A$5.5M. The pro forma figures will be updated for the financial statements reviewed by Kestrel Ridge Assurance (expected 2026-02-13) and for Grandview's management accounts (expected 2026-03-13).

6.2 Occupancy sensitivity

The table below shows the effect of different occupancy outcomes at the acquired centres on pro forma EBITDA, holding interest cost and all other items constant. It assumes that 40% of any change in revenue flows through to EBITDA, which is an illustrative assumption. Actual flow-through will depend on rostering flexibility and ratio constraints.

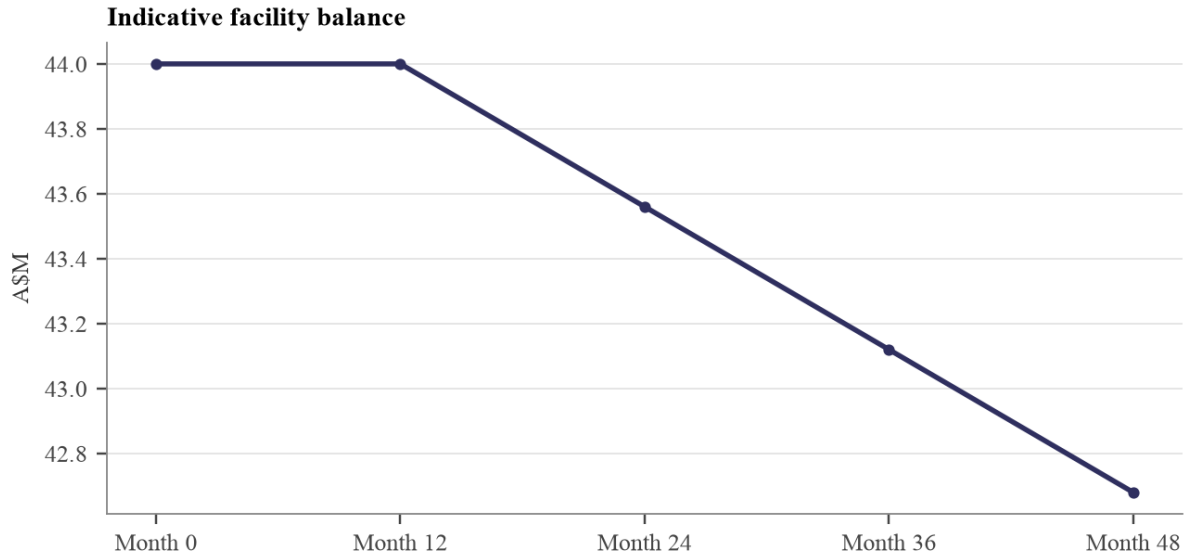
Acquired occupancy (%)	EBITDA (A$M)	Net debt / EBITDA (x)	Interest cover (x)
65.0	13.2	4.2	2.4
70.0	13.8	4.0	2.5
73.5 (current)	14.2	3.9	2.6
80.0 (target)	14.9	3.7	2.7

Sensitivity of pro forma metrics to occupancy at the acquired centres

At 65% occupancy, 8.5 points below current levels, leverage would still be 4.2x and cover 2.4x. The proposed covenants in Section 10 have been set to retain headroom across this range.

6.3 Debt profile

The facility amortises at 1.00% per annum from month 13, or A$0.44M per annum. The facility is therefore substantially a bullet. About A$42.7M, or 97% of the original limit, will be outstanding at maturity and will need to be refinanced or repaid from sale proceeds.



Scheduled balance assuming full drawing at completion and 1.00% p.a. amortisation from month 13

7. Security package

The proposed security for the facility is as follows. The package is indicative and subject to legal due diligence by Merrion Hale Lawyers, counsel to Grandview, and to lender review.

- First ranking general security over all present and after-acquired property of the Borrower and each guarantor in the Group, including shares in the entities that will operate the acquired centres.
- First ranking registered mortgages over the four freehold centres included in the acquisition.
- Security over leasehold interests and assignment of rights under leases for the acquired leased centres, to the extent landlords consent. Lenders should expect landlord consents to vary between sites.
- Fixed and floating charges, and an assignment of the rights of the Borrower under the acquisition agreement, including warranties and indemnities.
- Cross guarantees from material Group entities and a share mortgage over the shares of the Borrower granted by Bellwood Equity Partners Fund II.

The A$62.0M indicative valuation gives an LVR of 71% on the A$44.0M facility. That valuation reflects the acquired portfolio as a going concern. Because most centres are leased, value depends on the continued right to operate from those premises and on retention of the regulatory approvals attached to each service. Lenders should therefore consider both the valuation and the lease terms. A schedule of remaining lease terms, options and rent review mechanisms will be provided in the data room.

8. Indicative facility terms

Term	Proposal
Facility	Senior secured acquisition term facility
Limit	A$44.0M
Tenor	48 months from financial close
Margin	3 month BBSW plus 6.25% p.a.
Establishment fee	2.00% of the limit (A$0.88M)
Commitment fee	1.50% p.a. on undrawn amounts
Amortisation	1.00% p.a. from month 13
Purpose	Part funding of the purchase of 12 centres (A$60.5M) and A$2.0M of transaction costs
Equity	A$18.5M sponsor cash equity, to be contributed before or at first drawdown

Summary of indicative terms. Final terms are to be set out in the term sheet, targeted for 2026-04-02.

Interest is payable quarterly in arrears at a floating rate. The Borrower expects to hedge a portion of the facility. The hedging requirement is open for discussion with lenders, and the Group's interest cover is sensitive to movements in BBSW.

9. Key risks and mitigants

Occupancy risk

The acquired centres average 73.5% occupancy, and the plan assumes a lift to about 80% within 18 months. Slower enrolment growth would reduce EBITDA and covenant headroom. Mitigants: the facility is sized on current, not target, earnings; the sensitivity in Section 6.2 shows leverage of 4.2x at 65% occupancy; and the proposed leverage covenant provides about 14% EBITDA headroom at close.

Regulatory and funding risk

Earnings depend on CCS settings, fee cap policy and the NQF. Adverse changes or compliance sanctions could affect revenue or licences. Mitigants: the sector is subject to bipartisan policy support for early childhood education, though settings can change; the Group operates across two states, so a state-level action affects only part of the portfolio; and lenders will receive an NQF rating report for each centre as a condition of drawdown.

Labour risk

Educator shortages and award wage increases may constrain staff-to-child ratios, limit enrolments and compress margins. Mitigants: management will provide a workforce plan covering the acquired centres, and the covenant package will test earnings after labour costs. Wage increases are partly recoverable through fee increases, subject to the fee cap and to parent price sensitivity.

Integration risk

The acquisition adds 12 centres, about 46% more sites, across two states. It requires systems migration, licence transfers and retention of centre directors. Mitigants: Grandview has completed a comparable, though smaller, acquisition in 2017; completion is conditional on regulatory transfer approvals; and the conditions precedent include an integration plan and retention arrangements for centre directors at the acquired sites.

Lease and property risk

Most centres are leased, so rent escalation, short remaining terms or non-renewal at key sites could affect value and security coverage. Mitigants: only four of the acquired centres are freehold and those will be mortgaged; a lease schedule will be tested for expiry concentration; and landlord consents will be sought at material sites.

Refinancing and interest rate risk

The 48 month facility has a partial amortisation profile and floating pricing, so a rise in BBSW or weaker earnings could affect exit and refinancing. About A$42.7M will be outstanding at maturity. Mitigants: a hedging requirement for part of the facility; a distribution lock-up when leverage exceeds the stated threshold; and a potential cash sweep from the second year if leverage is above target.

10. Proposed financial covenants

The covenants below are proposed by Pemberton on behalf of Grandview as a basis for discussion. They are tested quarterly on a rolling twelve month basis, with EBITDA measured after rent.

Covenant	Proposed level	Pro forma
Net debt to EBITDA, to month 18	Maximum 4.50x	3.9x
Net debt to EBITDA, months 19 to 30	Maximum 4.25x	3.9x
Net debt to EBITDA, after month 30	Maximum 4.00x	3.9x
Interest cover	Minimum 2.20x	2.6x
LVR on valuation of secured assets	Maximum 75%	71%
Distributions lock-up	Net debt to EBITDA above 3.75x	3.9x

Indicative covenant package

At a 4.50x leverage limit, EBITDA could fall to about A$12.2M, a decline of about 14%, before a breach. At a 2.20x interest cover limit, EBITDA could fall to about A$12.0M, a decline of about 15%. The distributions lock-up would apply at close, which means no distributions to shareholders until leverage falls below 3.75x. Lenders may wish to propose tighter step-downs once the first twelve months of acquired centre trading data are available.

11. Conditions precedent

Drawdown is expected to be subject to conditions customary for an acquisition facility of this type, including the following.

- Execution of finance documents and security, with satisfactory legal opinions and searches.
- Receipt of the final valuation from Harcourt Pryor Valuations Pty Ltd showing an LVR not exceeding 75%.
- Receipt of the quantity surveyor's report from Tanner & Voss Quantity Surveyors Pty Ltd with no material adverse findings on the freehold centres.
- Satisfactory financial and commercial due diligence, including the Kestrel Ridge Assurance financial statements and management accounts.
- Evidence that the A$18.5M sponsor equity has been, or will simultaneously be, contributed.
- Regulatory approvals for the transfer of approved provider and service arrangements for the 12 centres.
- Agreement on treatment of the existing bilateral bank facility, including any intercreditor deed.
- Landlord consents at agreed material leased sites.
- Insurance cover satisfactory to lenders, with the lenders' interests noted.
- An integration plan and arrangements to retain centre directors at the acquired sites.

12. Process and timetable

Date	Milestone
2026-01-19	Information memorandum issued
2026-02-13	Financial statements available
2026-03-06	Formal valuation report
2026-03-13	Management accounts
2026-03-20	Quantity surveyor report
2026-04-02	Term sheet

Indicative timetable. Report dates are those currently scheduled and may change.

Lenders are invited to provide non-binding indications of interest, including preferred hold size and any proposed changes to the terms in Section 8 and the covenants in Section 10. A data room will be made available to lenders who have signed a confidentiality undertaking. It will include the acquisition agreement, the lease schedule, centre-level occupancy and NQF ratings, and the Group's management accounts.

13. Advisers and contacts

Role	Party
Debt adviser	Pemberton Debt Advisory
Corporate adviser to Grandview	Lindqvist Corporate Advisory Pty Ltd
Legal counsel to Grandview	Merrion Hale Lawyers
Valuer	Harcourt Pryor Valuations Pty Ltd
Quantity surveyor	Tanner & Voss Quantity Surveyors Pty Ltd
Auditor	Kestrel Ridge Assurance

Transaction advisers

All enquiries, requests for information and indications of interest should be directed to Pemberton Debt Advisory. Lenders must not contact Grandview, Bellwood Equity, the vendor, centre staff or landlords about this transaction without Pemberton's prior written consent.